



ARS METAL INDUSTRIES D.O.O.

SMART FACTORY PROJECT

TITAN GRID

ORG-001 – PROJECT CONCEPT NOTE

FINAL – LENDER SUBMISSION VERSION



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Project: TITAN Grid

Entity: ARS Metal Industries d.o.o.

Classification: Strategic Infrastructure / Near-Shoring Investment

Thesis

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1. THE STRUCTURAL BOTTLENECK: EUROPEAN GRID EXPANSION IS CHOKING ON TRANSFORMER COMPONENT SUPPLY

The EU Green Deal and accelerated electrification are driving unprecedented demand for grid reinforcement and renewable integration. Yet the transformer value chain—particularly tanks and radiator systems—remains the critical choke point.

Current market reality (2025–2026 data):

Regional manufacturing capacity for transformer tanks and radiators is severely insufficient.

Lead times from dominant suppliers (Asia, Turkey) routinely exceed 60–90 days, with many critical components now stretching toward months amid global shortages.

Carbon-intensive offshore processing faces mounting regulatory costs and geopolitical supply risks.

Result: Delayed grid expansion projects, slowed renewable capacity additions, and direct jeopardy to EU 2030/2050 decarbonization targets.

TITAN Grid directly targets this exact pain point.

2. TITAN GRID: THE REGIONAL NEAR-SHORING ANSWER – FAST, AUTOMATED, RESILIENT

Located in Tuzi, Montenegro, TITAN Grid is a purpose-built manufacturing platform delivering transformer tanks and radiator systems to OEMs across Southeast and Central Europe via true near-shoring.

Core differentiators:

Lead-time compression — Regional delivery in 3–7 days (vs. 60–90+ days from distant suppliers).

Industrial-grade automation — 30kW CNC laser cutting + full robotic welding → consistent quality, repeatability, and superior cost control.

Energy price hedge — On-site 1.4 MWp solar generation materially reduces exposure to volatile Balkan/EU electricity prices.

Site: 22,742 m² land with modular design enabling phased capacity expansion (TITAN 2 → TITAN 3), financed progressively from operating cash flows.



STRATEGIC & FINANCIAL ALIGNMENT WITH INSTITUTIONAL LENDING CRITERIA

Market Positioning → Fills a proven regional supply gap in the transformer component value chain, capturing near-shoring momentum across EU-adjacent markets.

Operational Edge → Automation + optimized material yield → structurally competitive unit economics. Solar integration → stabilized OPEX and lower carbon footprint.

Financial Profile

Total Investment: €16.0 million

CAPEX: €13.8 million

Working Capital: €2.2 million

Cash Flow Generation: Structured for stable, predictable operating cash flows in base and downside cases.

Debt Service Coverage: Stress-tested DSCR remains comfortably above lender thresholds under revenue contraction and input cost escalation scenarios.

Scalability & Self-Financing: Modular expansion partially funded from internal cash generation post-initial ramp-up.

Category	Parameter	Validation / Advantage
Location	Tuzi, Montenegro	Ideal proximity to EU and Southeast markets
Technology	Automated fabrication	Ensures industrial efficiency and consistent quality
Energy	1.4 MWp solar integration	Reduces energy price volatility significantly
Financials	Conservative structuring	DSCR resilience meets institutional standards

INVESTMENT THESIS – WHY THIS MATTERS NOW

TITAN Grid is not speculative greenfield — it is a strategically timed, de-risked response to a structural constraint that is actively delaying Europe’s energy transition.

It delivers:



Speed (days vs. months)
Resilience (near-shoring + solar hedge)
Scalability (modular, cash-flow funded growth)

Alignment (EU Green Deal, carbon reduction, regional industrial policy)
In an environment where grid bottlenecks are measured in years and billions of dollars in delayed renewable deployment, TITAN Grid offers lenders a high-conviction, infrastructure-grade opportunity with strong downside protection and a clear path to value creation.

FORMAL DECLARATION

This Concept Note is submitted exclusively for the purpose of presenting the strategic rationale and investment merits of the TITAN Grid project to prospective financing institutions. All data, assumptions, engineering parameters, and financial projections reflect the best available information as of the preparation date and remain subject to comprehensive technical, commercial, financial, and legal due diligence.

Respectfully submitted,

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